

Inventec

Server demand strengthens, yet balance sheet constraints persist; N

Key takeaways from Inventec's 2Q26 earnings were: (1) 2Q26 OPM missed our estimates, but bottom-line results beat on higher non-OP income; (2) a mixed 3Q26 outlook with robust server demand partially offset by continued supply uncertainty; (3) continued traction in new AI projects, which could fuel growth into next year; and (4) a declining NB shipment outlook on soft end demand. Overall, we nudge up our 2026/27 earnings estimates by 27%/22%, introduce 2028 estimates, and extend our PT horizon to Jun-27 with a PT of NT\$58 (based on ~14x 12m fwd EPS, around mid-cycle valuation). We anticipate Inventec to gain market share in general servers amid supply constraints, and to gain AI project wins through solid design. However, we maintain our Neutral rating given a relatively stretched balance sheet (net debt ratio of ~80% vs. peers at 20-40%). The sub-optimal working capital scale will limit revenue upside and imply an inferior cost structure. In the ODM space, our pecking order is Wiwynn > Wistron > Quanta > Hon Hai > Pegatron > Inventec > Compal.

- **2Q26 earnings recap, double digit 3Q26 server order outlook** 2Q26 GMs declined to 4.2% (vs. 5.1% in 1Q26) due to an inflated cost structure and product mix. Opex ratio moderated to 2.5% (vs. 3.3% in 1Q26), supported by better scale. Bottom line was 6%/32% above JPMe/BBGe, mainly driven by FX gains and revenue upside. Looking into 3Q, the company sees double digit QoQ server shipment order growth but a HSD decline in NB shipment. Both NB and server ASP could inch higher on continued component price hikes. However, the component supply tightness remains the key downside risk. Overall, we model 6% QoQ revenue growth.
- **Rich AI server design pipeline.** Management indicated that the AI server system mix will not decline from 2Q26 levels, with the pipeline broadening across multiple hyperscalers. Key potential programs include: TikTok (Nvidia GPU systems), Google B300, AWS Graviton ASIC servers, Microsoft FPGA systems, Google TPU (targeting 3Q27), and Oracle GB300 (small initial volumes in 4Q26). While several programs remain early-stage, the breadth of potential wins points to a more diversified AI revenue base into 2027–28. Overall, we model ~70%/60% AI server revenue growth for Inventec in 2026/27. Key swing factors are ramp timing and supply availability.
- **Unfavorably positioned among ODMs with a smaller balance sheet.** Inventec's net debt surged to NT\$63bn from NT\$38bn in 1Q26, driven by higher component inventory costs (memory, GPUs, CPUs) and inventory builds ahead of strong orders. We expect net debt to continue rising and forecast a net-debt-to-equity ratio of 89%/117% in 2026/27, well above the peer average of 20-40%. This could lead to potential equity dilution and higher interest expenses. While Inventec can still win new projects, the growing capital burden is likely to dilute earnings power. Over the medium to longer term, the company could also be more vulnerable in any industry consolidation scenario.

Neutral

2356.TW, 2356 TT
Price (11 Aug 26): NT\$65.10

▲ **Price Target (Jun-27): NT\$58.00**
Prior (Dec-26): NT\$46.00

Technology - Hardware

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	2.93	3.72	27.0%
Adj. EPS - 27E (NT\$)	3.23	3.94	22.3%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	0.47	0.68A	0.71
Q2	0.61	1.09	1.06
Q3	0.76	0.94	1.14
Q4	0.58	1.02	1.03
FY	2.42	3.72	3.94

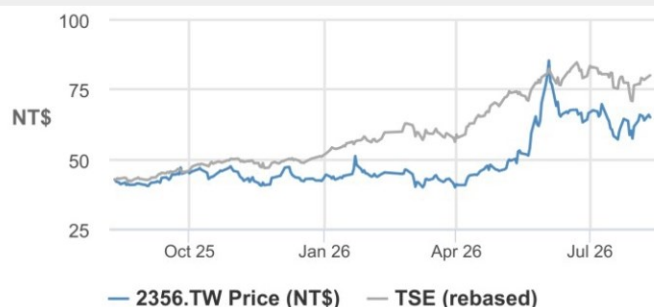
Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	23	18	17	37	18
Growth	72	52	63	79	90
Momentum	54	54	70	9	82
Quality	59	59	65	78	52
Low Vol	45	37	44	48	17
ESGQ	100	99	29	93	22

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	51.8%	-6.7%	29.7%	51.9%
Rel	-4.0%	-6.2%	21.7%	-35.0%

Company Data

Shares O/S (mn)	3,587
52-week range (NT\$)	88.60-38.55
Market cap (\$ mn)	7,249
Exchange rate	32.22
Free float (%)	70.3%
3M ADV (mn)	62.82
3M ADV (\$ mn)	131.1
Volatility (90 Day)	62
Index	TAIEX
BBG ANR (Buy Hold Sell)	3 10 1

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	691,190	1,053,433	1,246,802	1,384,871
Adj. EBIT	12,713	18,940	22,889	26,106
Adj. EBITDA	17,216	24,446	30,188	34,981
Adj. net income	8,696	13,351	14,150	15,773
Adj. EPS	2.42	3.72	3.94	4.40
BBG EPS	2.41	3.15	3.78	4.18
Cashflow from operations	18,266	13,711	13,422	14,730
FCFF	7,283	(16,669)	(10,578)	(5,270)
Margins and Growth				
Revenue Growth Y/Y (%)	7.0%	52.4%	18.4%	11.1%
EBIT margin	1.8%	1.8%	1.8%	1.9%
EBIT Growth Y/Y (%)	7.6%	49.0%	20.8%	14.1%
EBITDA margin	2.5%	2.3%	2.4%	2.5%
EBITDA Growth Y/Y (%)	8.8%	42.0%	23.5%	15.9%
Net margin	1.3%	1.3%	1.1%	1.1%
Adj. EPS growth	19.7%	53.5%	6.0%	11.5%
Ratios				
Adj. tax rate	22.7%	22.4%	21.9%	21.9%
Interest cover	5.1	5.6	4.6	4.5
Net debt/Equity	0.4	0.9	1.2	1.4
Net debt/EBITDA	1.7	2.6	2.9	3.0
ROE	11.8%	18.0%	19.3%	20.9%
Valuation				
FCFF yield	3.1%	(7.1%)	(4.5%)	(2.3%)
Dividend yield	2.6%	3.1%	4.7%	4.9%
EV/Revenue	0.2	0.2	0.2	0.2
EV/EBITDA	8.3	8.0	7.2	6.6
Adj. P/E	26.9	17.5	16.5	14.8

Summary Investment Thesis and Valuation

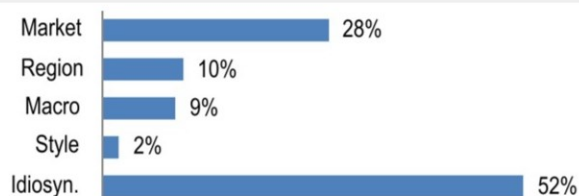
Investment Thesis

We expect Inventec to gain market share in general servers amid supply constraints, and to gain AI project wins through solid design. However, we maintain our Neutral rating given a relatively stretched balance sheet. The sub-optimal working capital scale will limit revenue upside and imply an inferior cost structure. Stay Neutral. In the ODM space, our pecking order is Wiwynn > Wistron > Quanta > Hon Hai > Pegatron > Inventec > Compal.

Valuation

Our Jun-27 PT of NT\$58 is based on ~14x 12m fwd EPS, around mid-cycle valuation.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.53
Region: Taiwan	0.28	0.34
Macro:		
HSI Volatility Index	-0.28	-0.22
Citi Economic Surprise - EM	-0.39	-0.16
JPM China A-shares Sentiment	-0.01	-0.13
Quant Styles:		
Growth	0.28	0.21
DivYld	-0.13	-0.15
Size	0.16	0.13

Table 1: Inventec - 2Q26 earnings review

NT\$ million	2Q26			Variance		Growth	
	Actual	JPM	Consensus	vs. JPM	vs. Consensus	Q/Q	Y/Y
Revenues	269,857	240,027	236,739	12%	14%	35%	45%
Gross profit	11,416	12,042	11,974	-5%	-5%	12%	20%
GM (%)	4.2%	5.0%	5.1%	-79 bps	-83 bps	-85 bps	-86 bps
Operating profit	4,741	5,081	4,294	-7%	10%	31%	30%
OPM (%)	1.8%	2.1%	1.8%	-36 bps	-6 bps	-5 bps	-19 bps
Pretax profit	5,017	4,575	3,851	10%	30%	52%	72%
Net profit	3,895	3,658	2,960	6%	32%	60%	78%
EPS (NT\$)	1.09	1.02	0.83	6%	32%	60%	78%

Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P. estimates.

Table 2: Inventec: Estimate revisions

NT\$ million	Revised			Prior			Change (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	1,053,433	1,246,802	1,384,871	871,500	938,883	N.A	21%	33%	N.A
Gross profit	46,232	53,881	60,111	43,026	46,739	N.A	7%	15%	N.A
GM (%)	4.4%	4.3%	4.3%	4.9%	5.0%	N.A	-55bps	-66bps	N.A
Operating profit	18,940	22,889	26,106	15,640	17,230	N.A	21%	33%	N.A
OPM (%)	1.8%	1.8%	1.9%	1.8%	1.8%	N.A	0bps	0bps	N.A
Pretax profit	17,221	18,130	20,203	13,508	14,850	N.A	27%	22%	N.A
Net profit	13,351	14,150	15,773	10,515	11,573	N.A	27%	22%	N.A
EPS (NT\$)	3.72	3.94	4.40	2.93	3.23	N.A	27%	22%	N.A

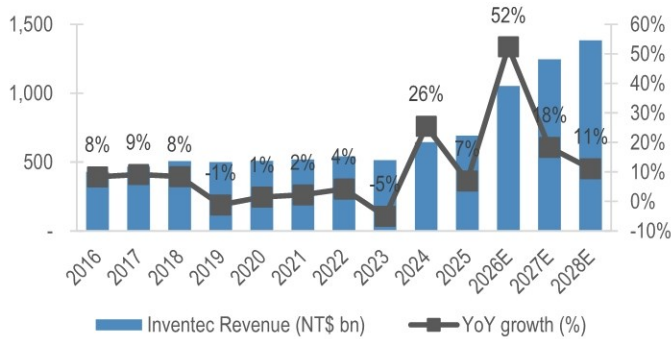
Source: J.P. Morgan estimates.

Table 3: Inventec: JPM vs. BBG consensus

NT\$ million	JPM			Consensus			Difference (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	1,053,433	1,246,802	1,384,871	872,641	987,906	1,012,430	21%	26%	37%
Gross profit	46,232	53,881	60,111	44,252	50,304	51,229	4%	7%	17%
GM (%)	4.4%	4.3%	4.3%	5.1%	5.1%	5.1%	-68bps	-77bps	-72bps
Operating profit	18,940	22,889	26,106	16,160	19,319	21,079	17%	18%	24%
OPM (%)	1.8%	1.8%	1.9%	1.9%	2.0%	2.1%	-5bps	-12bps	-20bps
Pretax profit	17,221	18,130	20,203	14,760	17,343	19,468	17%	5%	4%
Net profit	13,351	14,150	15,773	10,985	13,297	14,958	22%	6%	5%
EPS (NT\$)	3.72	3.94	4.40	3.06	3.71	4.17	22%	6%	5%

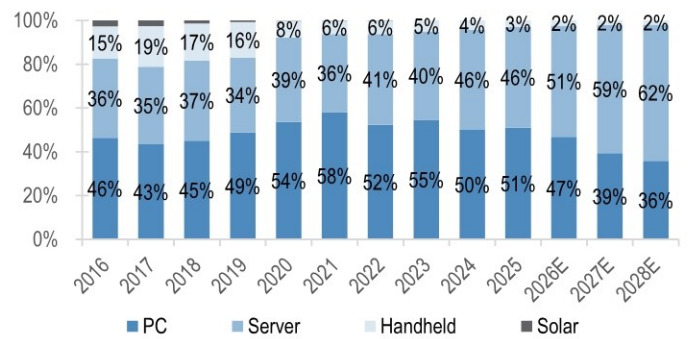
Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P. estimates.

Figure 1: Inventec – Revenue and YoY trend



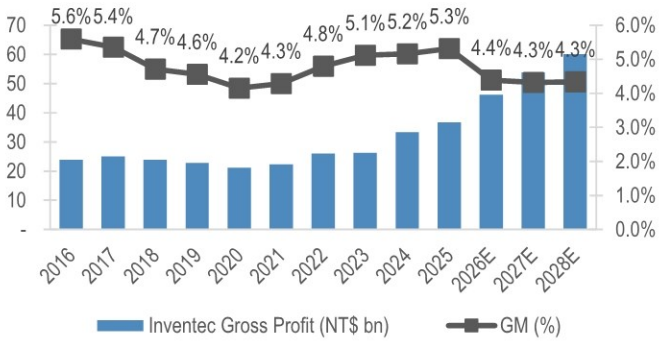
Source: Company data, J.P. Morgan estimates.

Figure 2: Inventec – Revenue breakdown by segment



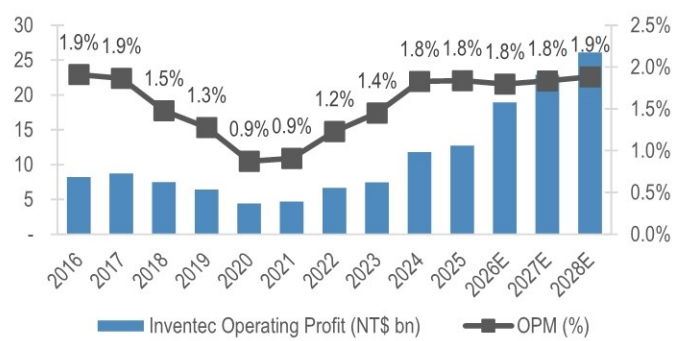
Source: Company data, J.P. Morgan estimates.

Figure 3: Inventec – Gross profit and GPM



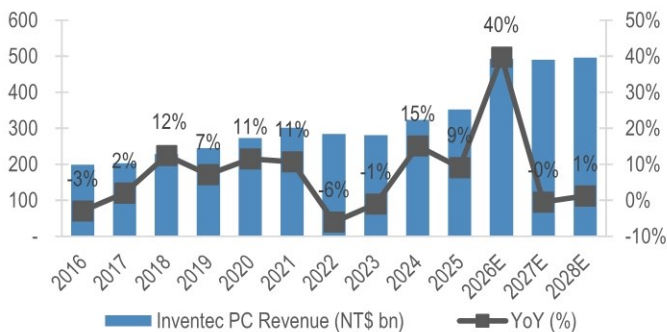
Source: Company data, J.P. Morgan estimates.

Figure 4: Inventec – Operating profit and OPM



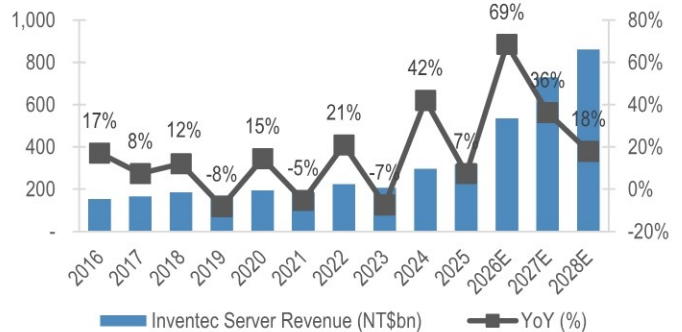
Source: Company data, J.P. Morgan estimates.

Figure 5: Inventec – PC revenue and YoY trend



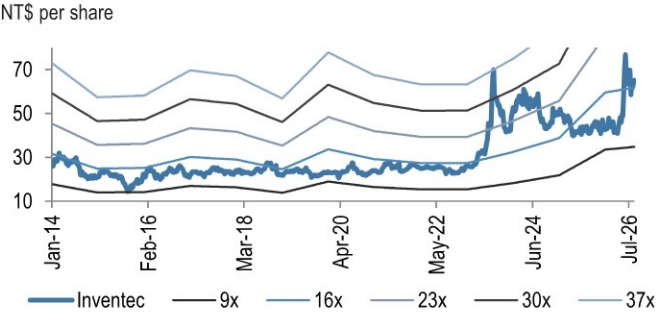
Source: Company data, J.P. Morgan estimates.

Figure 6: Inventec – Server revenue and YoY trend



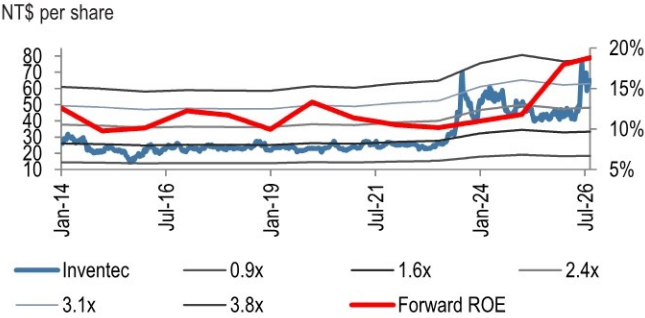
Source: Company data, J.P. Morgan estimates.

Figure 7: Inventec – 12M forward P/E chart



Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 8: Inventec – 12M forward P/B chart



Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

Table 4: Inventec – Quarterly financials

NT\$ in millions, year-end December	FY25				FY26E				FY27E				FY25	FY26E	FY27E	FY28E
	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Sales	157,034	186,577	176,286	171,293	200,311	269,857	285,309	297,956	262,216	311,042	335,687	337,857	691,190	1,053,433	1,246,802	1,384,871
COGS	147,622	177,075	167,409	162,370	190,134	258,441	273,283	285,343	250,736	297,324	321,292	323,569	654,476	1,007,201	1,192,921	1,324,760
Depreciation	966	1,018	1,126	1,394	1,349	1,400	1,291	1,466	1,667	1,772	1,877	1,982	4,504	5,506	7,299	8,874
Gross profit	9,413	9,503	8,876	8,923	10,177	11,416	12,026	12,614	11,480	13,717	14,395	14,288	36,715	46,232	53,881	60,111
Operating expense	5,940	5,868	5,809	6,385	6,562	6,675	6,904	7,151	7,342	7,652	7,721	8,277	24,002	27,292	30,992	34,005
SG&A	2,402	2,323	2,453	2,521	2,838	2,790	2,910	2,980	3,147	3,204	3,256	3,547	9,700	11,518	13,154	14,521
R&D	3,538	3,544	3,356	3,864	3,724	3,884	3,994	4,171	4,195	4,448	4,465	4,730	14,302	15,774	17,838	19,483
Operating (EBIT)	3,473	3,635	3,067	2,538	3,615	4,741	5,121	5,463	4,138	6,066	6,675	6,011	12,713	18,940	22,889	26,106
Net interest income (expense)	(825)	(745)	(931)	(883)	(795)	(1,034)	(1,230)	(1,321)	(1,286)	(1,625)	(1,735)	(1,865)	(3,385)	(4,380)	(6,511)	(7,794)
Net other income (expense)	(495)	22	2,069	1,089	487	1,310	426	439	389	438	462	464	2,684	2,661	1,753	1,891
Pre-tax profit	2,152	2,912	4,204	2,744	3,307	5,017	4,317	4,581	3,240	4,878	5,402	4,611	12,012	17,221	18,130	20,203
Tax expense (gain)	448	718	892	664	873	1,117	950	916	680	1,073	1,296	922	2,722	3,856	3,972	4,422
Net profit	1,703	2,190	2,729	2,073	2,428	3,895	3,365	3,662	2,557	3,803	4,103	3,686	8,696	13,351	14,150	15,773
Adjusted O/S (B)	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587	3,587
EPS (NT\$)	0.47	0.61	0.76	0.58	0.68	1.09	0.94	1.02	0.71	1.06	1.14	1.03	2.42	3.72	3.94	4.40
Margins (%)																
Gross	6.0	5.1	5.0	5.2	5.1	4.2	4.2	4.2	4.4	4.4	4.3	4.2	5.3	4.4	4.3	4.3
Operating	2.2	1.9	1.7	1.5	1.8	1.8	1.8	1.8	1.6	2.0	2.0	1.8	1.8	1.8	1.8	1.9
EBITDA	2.8	2.5	2.4	2.3	2.5	2.3	2.2	2.3	2.2	2.5	2.5	2.4	2.5	2.3	2.4	2.5
Net	1.1	1.2	1.5	1.2	1.2	1.4	1.2	1.2	1.0	1.2	1.2	1.1	1.3	1.3	1.1	1.1
Growth (% Q/Q)																
Sales	(21)	19	(6)	(3)	17	35	6	4	(12)	19	8	1				
Gross profit	(7)	1	(7)	1	14	12	5	5	(9)	19	5	(1)				
EBIT	(11)	5	(16)	(17)	42	31	8	7	(24)	47	10	(10)				
Net profit	(28)	29	25	(24)	17	60	(14)	9	(30)	49	8	(10)				
EPS	(28)	29	25	(24)	17	60	(14)	9	(30)	49	8	(10)				
Growth (% Y/Y)																
Sales	20	21	8	(13)	28	45	62	74	31	15	18	13	7	52	18	11
Gross profit	37	23	3	(11)	8	20	35	41	13	20	20	13	10	26	17	12
EBIT	62	40	(3)	(35)	4	30	67	115	14	28	30	10	8	49	21	14
Net profit	56	21	37	(13)	43	78	23	77	5	(2)	22	1	20	54	6	11
EPS	56	21	37	(13)	43	78	23	77	5	(2)	22	1	20	54	6	11

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Inventec (*Neutral; Price Target: NT\$58.00*)

Investment Thesis

We expect Inventec to gain market share in general servers amid supply constraints, and to gain AI project wins through solid design. However, we maintain our Neutral rating given a relatively stretched balance sheet. The sub-optimal working capital scale will limit revenue upside and imply an inferior cost structure. Stay Neutral. In the ODM space, our pecking order is Wiwynn > Wistron > Quanta > Hon Hai > Pegatron > Inventec > Compal.

Valuation

Our Jun-27 PT of NT\$58 is based on ~14x 12m fwd EPS, around mid-cycle valuation.

Risks to Rating and Price Target

Key upside risks for Inventec are potential design wins in a rack-level computing server project with tier-one U.S. CSP vendors.

Key downside risks include slower progress in system-level server business and weaker than expected server demand.

Inventec: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E	
Revenue	646,262	691,190	1,053,433	1,246,802	1,384,871	Revenue	200,311	269,857	285,309	297,956	
COGS	(612,925)	(654,476)	(1,007,201)	(1,192,921)	(1,324,760)	COGS	(190,134)	(258,441)	(273,283)	(285,343)	
Gross profit	33,337	36,715	46,232	53,881	60,111	Gross profit	10,177	11,416	12,026	12,614	
SG&A	(8,919)	(9,700)	(11,518)	(13,154)	(14,521)	SG&A	(2,838)	(2,790)	(2,910)	(2,980)	
Adj. EBITDA	15,825	17,216	24,446	30,188	34,981	Adj. EBITDA	4,963	6,142	6,412	6,929	
D&A	(4,009)	(4,504)	(5,506)	(7,299)	(8,874)	D&A	(1,349)	(1,400)	(1,291)	(1,466)	
Adj. EBIT	11,817	12,713	18,940	22,889	26,106	Adj. EBIT	3,615	4,741	5,121	5,463	
Net Interest	(3,095)	(3,385)	(4,380)	(6,511)	(7,794)	Net Interest	(795)	(1,034)	(1,230)	(1,321)	
Adj. PBT	9,210	12,012	17,221	18,130	20,203	Adj. PBT	3,307	5,017	4,317	4,581	
Tax	(1,944)	(2,722)	(3,856)	(3,972)	(4,422)	Tax	(873)	(1,117)	(950)	(916)	
Minority Interest	1	(594)	(15)	(8)	(8)	Minority Interest	(5)	(6)	(2)	(2)	
Adj. Net Income	7,267	8,696	13,351	14,150	15,773	Adj. Net Income	2,428	3,895	3,365	3,662	
Reported EPS	2.03	2.42	3.72	3.94	4.40	Reported EPS	0.68	1.09	0.94	1.02	
Adj. EPS	2.03	2.42	3.72	3.94	4.40	Adj. EPS	0.68	1.09	0.94	1.02	
DPS	1.50	1.70	2.00	3.05	3.19						
Payout ratio	74.0%	70.1%	53.7%	77.3%	72.7%						
Shares outstanding	3,587	3,587	3,587	3,587	3,587	Shares outstanding	3,587	3,587	3,587	3,587	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	33,275	56,575	56,348	50,312	46,966	Gross margin	5.2%	5.3%	4.4%	4.3%	4.3%
Accounts receivable	166,602	127,432	195,916	222,153	254,410	EBITDA margin	2.4%	2.5%	2.3%	2.4%	2.5%
Inventories	65,147	76,912	125,082	141,838	162,350	EBIT margin	1.8%	1.8%	1.8%	1.8%	1.9%
Other current assets	9,403	10,534	18,336	20,791	23,810	Net profit margin	1.1%	1.3%	1.3%	1.1%	1.1%
Current assets	274,426	271,454	395,682	435,094	487,536	ROE	11.0%	11.8%	18.0%	19.3%	20.9%
PP&E	35,324	41,804	66,678	83,379	94,505	ROA	2.5%	2.6%	3.3%	2.8%	2.8%
LT investments	16,575	7,031	7,028	7,028	7,028	ROCE	7.3%	6.4%	8.3%	8.8%	9.2%
Other non current assets	9,619	11,384	14,199	14,199	14,199	SG&A/Sales	1.4%	1.4%	1.1%	1.1%	1.0%
Total assets	335,944	331,672	483,587	539,701	603,268	Net debt/equity	0.6	0.4	0.9	1.2	1.4
Short term borrowings	65,675	76,307	106,386	113,386	118,386	P/E (x)	32.1	26.9	17.5	16.5	14.8
Payables	135,836	109,168	187,622	212,758	243,525	P/BV (x)	3.3	3.1	3.2	3.1	3.0
Other short term liabilities	45,971	50,839	91,679	103,956	119,051	EV/EBITDA (x)	9.0	8.3	8.0	7.2	6.6
Current liabilities	247,482	236,314	385,687	430,100	480,962	Dividend Yield	2.3%	2.6%	3.1%	4.7%	4.9%
Long-term debt	8,390	8,678	14,425	24,425	34,425	Sales/Assets (x)	2.2	2.1	2.6	2.4	2.4
Other long term liabilities	9,586	10,232	10,700	10,700	10,700	Interest cover (x)	5.1	5.1	5.6	4.6	4.5
Total liabilities	265,458	255,224	410,813	465,225	526,087	Operating leverage	228.3%	109.1%	93.5%	113.6%	126.9%
Shareholders' equity	71,320	76,177	72,480	74,181	76,886	Revenue y/y Growth	25.5%	7.0%	52.4%	18.4%	11.1%
Minority interests	(834)	271	295	295	295	EBITDA y/y Growth	44.2%	8.8%	42.0%	23.5%	15.9%
Total liabilities & equity	335,944	331,672	483,587	539,701	603,268	Tax rate	21.1%	22.7%	22.4%	21.9%	21.9%
BVPS	19.88	21.23	20.20	20.68	21.43	Adj. Net Income y/y Growth	18.5%	19.7%	53.5%	6.0%	11.5%
y/y Growth	16.7%	6.8%	(4.9%)	2.3%	3.6%	EPS y/y Growth	18.5%	19.7%	53.5%	6.0%	11.5%
Net debt/(cash)	40,790	28,410	64,463	87,499	105,845	DPS y/y Growth	0.0%	13.3%	17.6%	52.4%	4.8%
Cash flow from operating activities	(6,958)	18,266	13,711	13,422	14,730						
o/w Depreciation & amortization	4,009	4,504	5,506	7,299	8,874						
o/w Changes in working capital	(18,233)	4,472	(5,161)	(8,036)	(9,925)						
Cash flow from investing activities	(18,024)	(3,204)	(33,193)	(24,000)	(20,000)						
o/w Capital expenditure	(9,721)	(10,984)	(30,380)	(24,000)	(20,000)						
as % of sales	1.5%	1.6%	2.9%	1.9%	1.4%						
Cash flow from financing activities	29,200	8,238	19,255	4,543	1,924						
o/w Dividends paid	(5,381)	(6,099)	(7,175)	(10,934)	(11,462)						
o/w Net debt issued/(repaid)	23,807	10,921	35,826	17,000	15,000						
Net change in cash	4,218	23,301	(227)	(6,036)	(3,346)						
Adj. Free cash flow to firm	(16,679)	7,283	(16,669)	(10,578)	(5,270)						
y/y Growth	(361.2%)	(143.7%)	(328.9%)	(36.5%)	(50.2%)						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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